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DERIVATIVES · CONTRACT OVERVIEW

Gold December 2026

Limited-Risk Call Options

GCZ26 · COMEX

A defined-risk bullish position on COMEX gold futures. Maximum loss is limited to the premium paid; profit requires gold to settle above the break-even at expiry.

UNDERLYING	STRIKE	BREAK-EVEN	MAXIMUM LOSS
\$4,134.80	\$4,100	\$4,316.85	100%
GCZ26, 31 Jul 2026	Call option	+4.4% required	of premium paid

Options carry a substantial risk of loss and are not suitable for all investors. This position expires worthless if gold settles at or below \$4,100 on 24 November 2026 — a loss of the entire premium. Before trading options you must receive and read *Characteristics and Risks of Standardized Options* (the ODD).

Safeguard Securities, Inc. · Information as of 31 July 2026.

For discussion purposes only. Not an offer to sell or a solicitation of an offer to buy any security or futures contract. Premium shown is a model-derived indicative value — see Section 03.

01 Summary

The position is a long call on COMEX Gold December 2026 futures (GCZ26) struck at \$4,100, expiring **24 November 2026** — **116 days** from the date of this document. Risk is limited and known in advance: the most that can be lost is the premium paid. The trade requires gold to rise approximately **4.4%** to break even, and appreciates from there.

CORRECTION TO PREVIOUSLY CIRCULATED MATERIAL

An earlier internal projection for the November contract (GCX26) stated a premium of **\$10.08 per troy ounce** for a near-the-money gold call. That figure is not consistent with market pricing. Using Barchart's own published implied volatility for GCZ26 (21.80%), a near-the-money call with 116 days to expiry values at approximately **\$216.85 per ounce** — roughly twenty times higher. The return figures in that earlier document were an artefact of the understated premium and materially overstated the opportunity. **All economics in this document have been recalculated.**

\$216.85 PREMIUM / OZ (INDICATIVE)	\$65,054 TOTAL, 3 CONTRACTS	0.55 DELTA AT INCEPTION	\$65,054 MAXIMUM LOSS
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02 Contract Specifications

Instrument	Gold Dec '26 Futures Options (GCZ26)
Exchange	COMEX
Option type / direction	Call · Long (buy)
Strike price	\$4,100
Contract size	100 fine troy ounces
Point value	\$100 per point
Minimum tick	0.10 (\$10.00 per contract)
Contracts	3 (total exposure 300 oz)
Option expiration	24 November 2026 (116 days)
Futures first notice / expiry	30 November 2026 / 29 December 2026
Underlying futures price	\$4,134.80 (31 Jul 2026)
Spot gold reference	\$4,086.21
Implied volatility	21.80% (Barchart, GCZ26 options)
Futures margin / maintenance	\$22,256 / \$20,233 per futures contract
Break-even at expiry	\$4,316.85 (strike + premium)
Maximum loss	\$65,054 — 100% of premium
Maximum gain	Theoretically unlimited above break-even

Buying a call requires no futures margin — the premium is paid in full at inception. Margin figures are shown for context on the underlying futures contract only.

03 Basis of the Premium

INDICATIVE VALUATION — NOT A TRADEABLE QUOTE

The premium of **\$216.85 per ounce** (\$21,685 per contract, \$65,054 for 3) is a **Black-76 theoretical value**, the standard model for options on futures. Inputs: underlying \$4,134.80, strike \$4,100, implied volatility 21.80% as published by Barchart for GCZ26 options, 116 days to expiry, risk-free rate 4.0%. It has **not** been verified against a live bid/ask. Actual executable prices will differ with the bid-offer spread, order size, and volatility at the moment of trade. **Confirm a live quote before any transaction.**

As an independent sanity check, the standard at-the-money approximation ($0.4 \times F \times \sigma \times \sqrt{T}$) gives roughly \$203 per ounce on these inputs — consistent with the model output and confirming the order of magnitude.

04 Market Context

Gold traded at **\$4,086.21** spot and **\$4,134.80** on the December COMEX contract on 31 July 2026, easing on the day as the dollar firmed. Gold is nonetheless on track for a monthly gain of more than 2% — its first in five months.

Where the major banks stand

INSTITUTION	END-2026 TARGET	RECENT REVISION
Goldman Sachs · HSBC · J.P. Morgan · StoneX	\$4,000 – \$4,900	Lowered
UBS	\$5,500	Cut from \$5,900
Morgan Stanley	\$5,200	Cut from \$5,700
Commerzbank	\$5,000	Raised from \$4,400
J.P. Morgan Global Research	\$6,000	Bullish outlier; \$6,300 possible 2027

READ THIS CAREFULLY

Several major banks have *lowered* their targets, principally because the Federal Reserve is no longer expected to cut rates in 2026. The lower half of that consensus range — \$4,000 to roughly \$4,300 — sits **at or below this position's break-even of \$4,316.85**. On a meaningful part of the mainstream forecast distribution, this option expires worthless.

Positioning

GCZ26 options show call open interest of **175,627** against put open interest of 59,503 — a put/call ratio of **0.34**, indicating a pronounced bullish skew in positioning. Liquidity is materially deeper than the November contract. Barchart's own technical read on GCZ26 futures is nonetheless a **Sell signal with weak strength** — a directly opposing indicator, shown here for balance.

05 Scenario Analysis at Expiry

Outcomes for 3 contracts (300 oz) at expiry on 24 November 2026. Scenario prices are anchored to published bank targets rather than chosen arbitrarily. **The downside case is presented first and on the same basis as the others.**

SCENARIO	GOLD AT EXPIRY	MOVE	OPTION VALUE	NET P&L	RETURN	EST. LIKELIHOOD
Downside	\$3,900	-5.7%	\$0	\$-65,054	-100.0%	35–45%
Conservative	\$4,400	+6.4%	\$90,000	\$24,946	+38.3%	25–35%
Moderate	\$5,000	+20.9%	\$270,000	\$204,946	+315.0%	15–25%
Aggressive	\$5,500	+33.0%	\$420,000	\$354,946	+545.6%	5–15%

SCENARIO BASIS	RATIONALE	EST. LIKELIHOOD
Downside — \$3,900	Gold retreats below strike. Within the \$4,000 floor of the lowered Goldman Sachs / HSBC / J.P. Morgan / StoneX band.	35–45%
Conservative — \$4,400	Modest appreciation. Mid-point of the lowered major-bank consensus range.	25–35%
Moderate — \$5,000	Sustained safe-haven and central-bank demand. Commerzbank year-end target.	15–25%
Aggressive — \$5,500	Macro or geopolitical escalation. UBS year-end target.	5–15%

PROBABILITY ESTIMATES ARE JUDGEMENTAL

The likelihood column reflects informed judgement anchored to the published forecast distribution. It is **not** derived from an options-implied probability model and should not be read as a statistical measure. The single most likely individual outcome band on current bank consensus is that gold finishes *below* the \$4,316.85 break-even.

06 Projection to Expiry

Position value at month-end under each scenario path, assuming a linear move from today's price to the scenario target and holding implied volatility constant at 21.80%. Interim values are Black-76 marks including remaining time value; the final row is intrinsic value at expiry.

DATE	DOWNSIDE		CONSERVATIVE		MODERATE		AGGRESSIVE	
	GOLD	RETURN	GOLD	RETURN	GOLD	RETURN	GOLD	RETURN
31 Aug 2026	\$4,072	-28%	\$4,206	+6%	\$4,366	+56%	\$4,500	+104%
30 Sep 2026	\$4,011	-55%	\$4,274	+12%	\$4,590	+132%	\$4,853	+247%
31 Oct 2026	\$3,949	-85%	\$4,345	+21%	\$4,821	+232%	\$5,218	+414%
24 Nov 2026 — expiry	\$3,900	-100%	\$4,400	+38%	\$5,000	+315%	\$5,500	+546%

WHY THIS TABLE STOPS AT NOVEMBER

The option expires **24 November 2026**. A six-month projection would extend two months beyond expiry, into a period in which the contract no longer exists and can have no value. The earlier GCX26 material contained this error — projecting returns into December 2026 and January 2027 for a contract expiring in November. This projection is correctly capped at expiry.

07 Drivers and Risks

Supportive of the position

- **Central bank accumulation** — sustained structural demand from emerging-market reserve managers.
- **Defined, pre-funded risk** — loss cannot exceed the premium; no margin calls, no forced liquidation.
- **Convex payoff** — participation in a large move without the capital commitment of outright futures.
- **Bullish positioning** — put/call open interest of 0.34 on GCZ26.
- **Deep liquidity** — 175,627 call contracts of open interest supports orderly entry and exit.
- **Upside targets exist** — Commerzbank \$5,000, UBS \$5,500, J.P. Morgan Research \$6,000 would all be profitable outcomes.

Against the position

- **Total loss is a realistic outcome** — not a tail case. Gold below \$4,316.85 at expiry loses the whole premium.
- **Consensus has moved against it** — Goldman, HSBC, J.P. Morgan, StoneX, UBS and Morgan Stanley all cut targets.
- **Fed on hold** — no 2026 rate cut expected; higher real yields raise the opportunity cost of holding gold.
- **Time decay accelerates** — theta erodes value fastest in the final 30–60 days.
- **Volatility risk** — a fall in implied volatility from 21.80% reduces the option's value even if gold rises.
- **Contrary technical signal** — Barchart shows Sell / weak on GCZ26.
- **Dollar strength** — a firmer dollar caps dollar-denominated gold.
- **Hard expiry** — being directionally right after 24 November 2026 is worth nothing.

08 Suitability

This position is intended only for investors who:

- hold the appropriate options approval level for long option purchases;
- have received and read the OCC's *Characteristics and Risks of Standardized Options*;
- can sustain the **complete loss** of the premium without impairing their financial position;
- understand expiry, assignment, time decay and volatility risk in commodity options;
- are committing only speculative capital, sized as a small portion of a diversified portfolio.

It is **not** suitable for capital preservation, income, or any investor requiring liquidity certainty or principal protection.

09 Sources

1. Barchart — Gold Dec '26 (GCZ26) futures quote and contract specifications. barchart.com/futures/quotes/GCZ26
2. Barchart — GCZ26 options overview: implied volatility 21.80%, call/put open interest, put/call ratios. barchart.com/futures/quotes/GCZ26/options
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4. Yahoo Finance / Reuters — *Analysts see gold to end 2026 below \$4,500/ounce*. finance.yahoo.com/markets/commodities/articles/analysts-see-gold-end-2026-184814987.html
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8. CME Group — COMEX gold futures and options contract specifications. cmegroup.com
9. Options Clearing Corporation — *Characteristics and Risks of Standardized Options*. theocc.com

Valuation methodology: Black (1976) model for European options on futures. Computed by Safeguard Securities, Inc. from the inputs stated in Section 03.

10 Important Disclosures

Options risk. Options involve risk and are not suitable for all investors. The purchase of a call option carries the risk of losing the **entire premium paid** if the option expires out of the money. Commodity futures and options trading involves substantial risk of loss. Before buying or selling any option you must receive a copy of *Characteristics and Risks of Standardized Options* (the Options Disclosure Document), available from your Safeguard Securities, Inc. representative or at theoec.com. Supporting documentation for any claims or statistical information is available on request.

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Indicative pricing. The premium and all derived figures — break-even, net profit and loss, and returns — are calculated from a Black-76 theoretical value using the inputs disclosed in Section 03, including implied volatility published by a third party. They are **not** live market quotes and have not been verified against an executable bid or offer. Actual transaction prices will differ. No transaction should be entered into on the basis of these figures without first obtaining a current quotation.

Hypothetical performance. The scenarios and projections are hypothetical and prepared with the benefit of hindsight on model assumptions. **Hypothetical results have inherent limitations and do not represent actual trading.** They assume a linear price path and constant implied volatility, neither of which occurs in practice. No representation is made that any account will or is likely to achieve profits or losses similar to those shown. Past performance and prior price levels are not indicative of future results.

Forward-looking statements and third-party forecasts. Price targets attributed to third-party institutions are those of the named institutions, are subject to revision without notice, and are reproduced for context only. Safeguard Securities, Inc. does not endorse them, has not verified them, and expresses no view on their accuracy. Several were revised downward in the period preceding this document.

Probability estimates. Likelihood ranges are judgemental, are not derived from an options-implied probability distribution, do not sum to unity, and must not be relied upon as statistical measures of outcome.

Correction notice. This document supersedes any prior Safeguard Securities material concerning gold call options on the November 2026 (GCX26) or December 2026 (GCZ26) contracts. Earlier material contained a premium assumption inconsistent with market pricing and projected returns beyond the option's expiry date. Recipients of that material should disregard its economics and rely on this document.

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